

The complaint

Mr M is unhappy The Salvation Army General Insurance Corporation Ltd (SAGIC) included a flood endorsement to his home insurance policy when he lives in a low flood risk area.

What happened

Mr M got a quote from SAGIC for home insurance in June 2020. The quote included an endorsement excluding claims for flood damage. A SAGIC adviser also explained the endorsement to Mr M over the phone.

Mr M accepted the quote and paid the premium for the policy. Later the same day, he got confirmation from a government agency his area was at low risk of flooding. He wanted SAGIC to remove the flood endorsement.

SAGIC said its postcode risk checker showed flood cover was declined for Mr M's postcode. It said it couldn't change its underwriting criteria. It refunded Mr M's insurance premium but he decided to carry on with the policy.

The investigator who looked at Mr M's complaint didn't uphold it. She thought SAGIC had acted reasonably in telling Mr M about the endorsement before he bought the policy. Mr M wants an ombudsman to review his complaint.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I've decided not to uphold Mr M's complaint. I know this will disappoint him but I hope the reasons I'm about to give help him to understand why I've reached this conclusion.

Mr M has evidence from a government agency that his area is at low risk of flooding. He says SAGIC under common law has to act on "*the basis of adequate, probative evidence*". He says he presumes SAGIC doesn't place a flood endorsement on all policies and so it's unfair for it to do so in the case of lowest risk.

An insurer can decide what risks it wishes to take on. This is a commercial decision every insurer can take – and different insurers can take different decisions based on their own assessments of risk. It's not something we can interfere with.

But we can look to see if an insurer has applied its criteria for taking on risks fairly to its customer. This means ensuring that a policyholder hasn't been treated differently to others in a similar situation. So that's what I've done in Mr M's case. SAGIC says it uses a flood mapping tool and a scoring system before it issues a quote. And it's shown us the postcode checker it used to assess the risk for Mr M's quote. For his postcode, this said (in red): "*Flooding: decline flood cover*".

From this information, I think anyone who lived in Mr M's postcode and applied for this particular insurance product would've had flood cover declined. So I can't say SAGIC has treated Mr M unfairly in refusing to cover flood risk for his home.

I can also see Mr M was made aware of the endorsement before he decided to buy the cover. And the wording of the endorsement is clear and prominent on his quote. So I can't say SAGIC did anything wrong in selling him the policy with the flood endorsement.

Mr M says he didn't have a choice about buying the policy. But I think he did. If he was unhappy with the flood endorsement, I think he could've shopped around for another policy that didn't include a flood endorsement.

I can also see, having paid his premium, SAGIC told Mr M he had the right to cancel the policy if he was unhappy with the flood endorsement. And from the information I've got, it looks as if it refunded him the premium. But Mr M called to say he wanted to continue with his policy and so SAGIC collected the premium again. Again, I don't think SAGIC did anything wrong here.

Having looked at all the evidence, including taking into account what Mr M says, I don't think SAGIC has treated him unfairly.

My final decision

For the reasons I've given, I don't uphold Mr M's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr M to accept or reject my decision before 29 October 2020.

Jane Gallacher
Ombudsman